

THE SESSION • POST-CLOSE READ

Breadth *Returns*

The Dow led a broadening Friday tape as copper, steel and consumer credit drew bids and the AI-infrastructure complex gave ground. Both sleeves finished ahead of benchmark.

S&P 500 ▲ 0.43%

NASDAQ ▲ 0.41%

DOW ▲ 0.98%

VIX 15.2

BRENT ▲ \$94

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.78%

1-DAY

FCI		+0.78%
DVY		-0.16%
SPY		+0.38%

YTD +22.26% vs DVY +18.08% · SPY +12.86%

GROWTH PORTFOLIO

▲ BEAT IUSG

+1.23%

1-DAY

FCI		+1.23%
IUSG		+0.32%

YTD +23.15% vs IUSG +13.30%

THE SESSION

The rally that closed a difficult week did not come from the names that have led the year. The Dow added 0.98% against the S&P 500's 0.43% and the Nasdaq's 0.41% — a session in which the index carrying industrials, healthcare and financials outpaced the one carrying the artificial-intelligence complex. The VIX settled at 15.17 and Brent held near \$94. Copper and steel found buyers, consumer credit found buyers, and the crypto-linked equities extended a week that had already reset digital-asset sentiment. What did not find buyers was the AI-infrastructure trade that has done most of the heavy lifting since spring.

Both sleeves finished ahead of benchmark, and for the same underlying reason. The **Dividend Strategy** added 0.78% while DVY gave back 0.16% and SPY managed 0.38% — a 94-basis-point margin over the dividend benchmark, built on STLD and NTR in the materials complex and on a healthcare bid that carried ABT 2.18% higher and DGX 1.26%. The **Growth Portfolio**'s 1.23% against IUSG's 0.32% came almost entirely from the cyclical and consumer-finance side of the book: FCX, SOFI, SYF and HOOD, none of which are AI-capex proxies. The offset was real — MRVL gave back 5.57% into next Thursday's report and HUT 8.79% as traders trimmed the AI-data-center names — but the breadth of the winners more than covered it.

Fifty businesses will not all be right about the same thing on the same day. That is not a compromise in the design. It is the design.

The digital-asset positions tracked the week's larger move: **IBIT closed 6.02% higher and ETHA 3.93%**, with bitcoin trading near \$77,000 after a weekly advance of roughly 22% — its strongest since March 2023. That move began Wednesday when the Treasury said it

would at least double its long-dated bond buybacks, pulling long yields lower and easing pressure on risk assets, and gathered force from the White House meeting with digital-asset executives and the push on the CLARITY Act. Worth noting that HUT declined 8.79% in the same ses-

sion. That divergence is the tell: the miner equities are now trading as AI-infrastructure positions rather than as bitcoin proxies, and should be underwritten accordingly. Next week carries Jackson Hole and the

Marvell report on the 27th, and the AI names that gave ground today will have their say. Nothing in this session changes the deployment discipline. It simply illustrates what diversification is actually paying for.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

HOOD +13.70%

GROWTH

Robinhood led the tape as the President urged Congress to pass the CLARITY Act; Goldman Sachs lifted its target to \$123 from \$118.

FCX +7.65%

GROWTH

Freeport touched \$77.33 intraday, a fresh 52-week high, as copper extended its run and materials drew targeted demand.

SOFI +5.50%

GROWTH

SoFi advanced with the wider consumer-fintech and crypto-adjacent complex on the same regulatory-clarity bid.

DECLINERS

HUT -8.79%

GROWTH

Hut 8 led the AI-data-center miners lower on position trimming proportional to 2026 gains; no company-specific news accompanied the move.

MRVL -5.57%

GROWTH

Marvell gave back Thursday's advance as positioning was trimmed into the August 27 report; options price roughly a 12% move.

STLD +4.42%

DIVIDEND

Steel Dynamics recovered a portion of the week's decline as the cyclical and hard-asset bid broadened.

SYF +3.60%

GROWTH

Synchrony rebounded from Thursday's consumer-credit repricing as financials became one of the session's larger index supports.

NTR +3.01%

DIVIDEND

Nutrien joined the materials advance, with agricultural inputs participating in the move that carried copper and steel.

EIX -4.10%

GROWTH

Edison International eased after Morgan Stanley cut its target to \$65 from \$69 with California's wildfire-liability session deadline approaching.

ATO -2.13%

DIVIDEND

Atmos Energy sold with the broader regulated-utility complex as capital rotated toward cyclical and financials.

VST -1.96%

GROWTH

Vistra eased with the independent power producers, which trailed on a session whose bid favored materials over power.

HOLDINGS NEWS

Robinhood added 13.70% on regulatory momentum, not on its crypto revenue line. The move followed the President's call for Congress to pass the CLARITY Act, which would set a framework for digital-asset oversight, alongside a White House meeting with executives from the major exchanges and brokers. Goldman Sachs raised its price target to \$123 from \$118. The distinction worth holding: Robinhood reported second-quarter revenue up 32% to \$1.31 billion and net income up 48%, with crypto contributing roughly 7.6% of the quarter and options plus net interest income together supplying more than half. Funded customers rose 7% to 28.4 million and platform assets 32% to \$369 billion. The position is a diversified brokerage that carries crypto optionality, which is a different thing from a crypto proxy — and the day's move priced the optionality rather than the business.

Freeport-McMoRan reached a fresh 52-week high as the copper thesis kept compounding. Shares closed at \$76.67 after touching \$77.33 intraday on volume above 25 million. The second quarter delivered adjusted earnings of \$0.74 per share against roughly \$0.62 consensus on \$7.03 billion of revenue, and management has guided to higher copper and gold volumes through 2028 with the Grasberg block cave ramp on schedule. The capital plan is the item to keep in view: approximately \$4.3 billion of capital expenditure this year and \$4.8 billion penciled for 2027, which leaves free cash flow levered to the copper price in both directions. The electrification and data-center demand case is intact; the valuation now assumes a good deal of it.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.26%

vs DVY +18.08% / SPY +12.86%

GROWTH PORTFOLIO

+23.15%

vs IUSG +13.30%